



DIRECTIVE
FINANCIAL SERVICES BOARD
REPUBLIC OF SOUTH AFRICA

LONG-TERM INSURANCE ACT, 1998 (ACT 52 OF 1998)

Addressee:	Long-term insurers		File:	10/17/1 & 10/7/1/1	
Edition	Issue date	Effective date	Directive	Status	Withdrawal date
1 st	25 February 2004	25 February 2004	143.A.i (LT)	In force	-
2 nd	-	-	-	-	-
3 rd	-	-	-	-	-
Subject:	Investment portfolios where alternative investment strategies/hedge fund strategies are employed				

Introduction

1. The Financial Services Board is concerned about several areas regarding the operation of “hedge fund” activities in the financial services sector. The major concern is that the introduction of leverage introduces additional risk into any investment strategy. Regulators around the world are in a process of reconsidering regulation of leveraged products.
2. Adherence to a number of principles is important if regulators want to fulfil their duties regarding the protection of the public. The most important principles are:
 - ☐ Guarding against systemic instabilities;
 - ☐ Ensuring fair treatment of investors through full disclosure of all the risks to them;
 - ☐ Creating a balance between innovation and the protection of the interests of new and existing investors; and
 - ☐ Preventing regulatory arbitrage between different financial services sectors.
3. The FSB is at present attempting to put structures in place that will allow for a competent supervisory framework for leveraged hedge funds through the Collective Investment Schemes Control Act (“CISCA”). The introduction of this structure will then permit foreign leveraged funds to register in South Africa.

Directive 143.A.i - Investment portfolios where alternative investment strategies/hedge fund strategies are employed

4. The FSB's FAIS Division is concurrently considering the issue of registering local and foreign "Hedge Fund Managers" as a distinct asset management class; as setting criteria for the marketing of such products. The intention is that these new categories will be restricted to the managing of regulated funds. This process is being undertaken in conjunction with a representative of the South African Hedge Fund industry. The proposals emanating therefrom will thereafter be considered by the Advisory Committee on Financial Service Providers. The foregoing initiative will run parallel with the process described in paragraph 3 above. Presently Investment Managers approved by the FSB are not permitted to manage hedge funds.
5. The alternative investment strategies referred to in this directive, are those that employ leverage and short selling. The term "hedge fund" is used in relation to these strategies and for the purpose of this directive the term "hedge fund" excludes all investment strategies that do not employ leverage and short selling.
6. LEVERAGE, for the purpose of this directive, refers to leverage obtained through:
 - ☐ Short selling strategies employed;
 - ☐ Derivative trading positions in excess of that as allowed for in section 34 of the Act;
 - ☐ Gearing obtained through borrowing in contravention of section 34 of the Act; and
 - ☐ All the above or any other investment strategy that results in the investment portfolio's gross market exposure¹ being in excess of the net capital².
7. The Financial Services Board's concerns center around the offering of hedge fund products in insurance wrappers that are not allowed in a collective investment schemes environment. Further concerns are that ineffective risk management processes concerning hedge funds could endanger the interests of other policyholders who are not participating in these funds.

Directive

8. The Registrar of Long-term Insurance therefore directs insurers that are involved or intend to become involved in these activities to comply with the following:
 - 8.1 Other than effective portfolio management, as allowed for in section 34 of the Act, long-term insurers may not use derivatives or short selling in order to set up leveraged structures.

¹ Gross market exposure: The sum of Long-equity and Short-equity positions held.

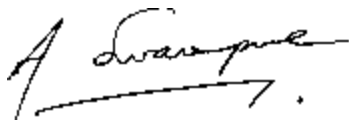
² Net capital: In this instance, investments/premiums obtained from policyholders, after deducting management fees and/or relevant costs, PLUS or MINUS any mark-to-market adjustment.

Directive 143.A.i - Investment portfolios where alternative investment strategies/hedge fund strategies are employed

- 8.2 If insurers have already engaged in setting up leveraged structures in conflict with the Act, they are directed to immediately stop marketing policies containing these hedge fund products (where the underlying assets representing those policyholders' liabilities are reflected on the insurer's balance sheet). And to within a period of six months from the date of this directive have all such investment portfolios aligned in accord with the Act and Regulations.
- 8.3 Insurers that are in contravention of the Act, as referred to above, must within fourteen days of this directive becoming effective, notify the Registrar in writing, giving full details of their historical gearing in contravention of section 34 of the Act. Approval for borrowing scrip to facilitate short selling, or the waiver of other restrictions per section 34 of the Act, relating to future envisaged products, will not be considered.
- 8.4 Insurers are once again reminded to at all times comply with section 34 of the Act.
- 8.5 Until such time as a regulatory framework for hedge funds is in place, insurers are directed to be cautious in embarking on the marketing of hedge fund products, which may in due course have to be unwound to comply with the new framework.

Information sharing

9. This directive is available on the website (www.fsb.co.za) of the FSB. Insurers must bring this directive to the attention of their appointed auditors and statutory actuaries.



pp REGISTRAR OF LONG-TERM INSURANCE